MarKSoc DTU

CASE COMPETITION 2026

PROJECT DOBAARA

Second hand phone. First class trust.

Tikau Phones and the trust problem in refurbished smartphones

CASE PARTNER

CrackNontech

BEFORE YOU START

How this case works

Your team of 3 to 5 is a strategy team hired by Tikau, a refurbished smartphone company in Noida. Read Sana Qureshi's first email (page 3), work through Exhibits 1 to 6 and answer the five questions in her second email (page 7) in one deck. You do not need any prior knowledge of phones, finance or consulting. Everything you need is in this document.

Ground rules

- Use only the numbers in this document. Outside data earns no credit, and numbers that conflict with this document count against you.
- Some numbers are given indirectly, and some notes change how a number is used. Read every line, including the notes under each table.
- If something you need is missing, make an assumption and state it on the slide where you use it. Stated assumptions are rewarded. Hidden ones are not.
- Money is in Indian rupees, before GST. 1 lakh = 1,00,000 and 1 crore = 100 lakh. Show company totals in ₹ lakh to one decimal place. Show per phone figures in rupees.
- You may use AI tools. Every member of the team must be able to explain every number in the deck. Shortlisted teams will be asked to rebuild their key numbers in front of the judges.

What to submit

- One deck in PDF: up to 8 main slides and up to 4 appendix slides. The first slide is an executive summary.
- The decision table on page 7 must be in the main slides, filled in for your plan.
- Show your working for every number that drives a decision, on the slide or in the appendix.
- Slide design earns no marks on its own.

How we will assess

Criterion	What we look for	Weight
Use of data	Contribution per phone, per channel and per month calculated correctly, with returns, warranty, supply and lab capacity included. Assumptions stated	30%
Customer insight	One clear target customer chosen from the evidence in Exhibit 1 and a reason to trust Tikau that the numbers can pay for	20%
Recommendation and trade offs	Levers chosen and timed, every board test passed and a clear list of what Tikau will not do, with reasons	30%
Marketing	A positioning line people remember, a launch that uses the right channels and claims that are true and can be proved	20%

There is no single right answer. A team that chooses a different plan from the judges can still win if its numbers are correct and its reasoning is stronger.

Real world context

These facts explain why the case is set where it is. Do not use them in your calculations. India's refurbished smartphone volumes grew 13% in January to June 2026 while new phone volumes fell about 11% (Counterpoint Research, August 2026). Complaints about phone and tablet repairs to the National Consumer Helpline rose from 19,057 in FY23 to 22,864 in FY25 (Department of Consumer Affairs, May 2025). In a GSMA consumer study, 86% of people worried that a refurbished phone might break sooner than a new one (GSMA, "Closing the Trust Gap"). The Sanchar Saathi service of the Department of Telecommunications lets anyone check a phone's IMEI.

THE BRIEF

From: Sana Qureshi, Cofounder and CEO, Tikau
To: Strategy team
Subject: Tikau: background and what we need from you

Hi team,

Thank you for taking this on. Here is where we stand.

We sell about 7,200 refurbished phones a month through our website, the MegaKart marketplace and six stores in Delhi NCR. Our phones are good, but people do not trust them enough. Last month a customer wrote to us: "Phone theek hai, par bharosa nahi hua." We lost ₹1.7 crore at the EBITDA level over the last twelve months, and our investors expect us to break even in March 2027.

My team does not agree on the fix:

- **Rohan Bedi, Head of Growth**, wants to cut prices on Fair phones and spend more on performance ads. He says volume comes first and trust will follow.
- **Kabir Arora, my cofounder**, runs our lab. He wants every phone certified and a longer warranty before we spend more on ads.
- **Our store managers** want a trade in programme, so customers bring us their old phones and we depend less on wholesale traders.

The board has approved **₹80 lakh of growth money for January to March 2027**. The data is in Exhibits 1 to 6. My questions are in a second email on page 7.

Best,
Sana

Company background

- Founded in 2021 in Noida by Sana Qureshi and Kabir Arora. Sana was a marketplace category manager. Kabir grew up working in his father's phone repair shop. "Tikau" means long lasting.
- Tikau buys used phones in bulk from wholesale traders, tests and repairs them in its own lab and sells them with a 6 month warranty and a 7 day return window.
- Last twelve months (November 2025 to October 2026): net revenue ₹139 crore, EBITDA minus ₹1.7 crore.
- Fixed costs (lab staff, rent, technology and head office): ₹58 lakh a month.
- Phones are sold in three grades:
  - **Superb:** looks almost new, battery health 85% or more
  - **Good:** light marks, battery health 80% or more
  - **Fair:** visible wear, fully working

Competitors

- **PhoneBazaar:** the largest organised seller of refurbished phones, with 180 stores and a 12 month warranty. Its prices are about 6% above Tikau's.
- **Neighbourhood phone shops and markets:** about 4 in 5 used phones in Tikau's cities are sold this way, at prices 10% to 15% below Tikau's. There is usually no bill and no warranty, and the condition of the battery and parts is unknown.
- **New budget phones:** a new phone at ₹10,000 competes directly with Tikau's Fair grade.

Exhibit 1: Customer research, October 2026

A. Why visitors did not buy. 1,500 people who opened a Tikau product page and left without buying. More than one answer allowed.

Reason	Share
Worried the battery will not last	46%
Cannot tell the real condition from photos	41%
6 month warranty is too short	31%
Wanted to see the phone in person	28%
Price not low enough compared with a local shop	24%
Phone might be stolen or locked	22%
Worried about the previous owner's data	12%

B. What would make you buy from Tikau. Same 1,500 people. More than one answer allowed.

Offer	Share
Battery health guaranteed at 85% or more	44%
12 month warranty	39%
A condition report with real photos, a battery reading and an IMEI check	36%
Take my old phone as part payment	31%
A price 5% lower	22%

C. Who buys from Tikau. 900 customers who bought between August and October 2026.

Segment	Share of buyers	Grade they mostly buy
Flagship on a budget: students and first jobbers aged 18 to 26 who want a premium phone they can afford	34%	Superb
Value seekers: want the cheapest phone that works	29%	Fair
Family buyers: buy a phone for a parent or a child and want to know who will fix it	21%	Good
Upgraders: have an old phone they want to sell or exchange	16%	Superb and Good

D. Website funnel, October 2026

Step	People
Visited the website	9,60,000
Opened a product page	3,10,000
Added a phone to cart	26,000
Placed an order	4,200

Store and MegaKart orders are not part of the website funnel. In stores, 1 in 3 visitors who pick up a phone buys it.

Exhibit 2: The economics of one phone

Per phone sold	Superb	Good	Fair
Average selling price	₹24,000	₹16,000	₹10,000
Price paid to the wholesale trader for the used phone	₹17,800	₹11,600	₹7,000
Testing and repair in the lab	₹800	₹1,000	₹1,200
Packing, delivery and payment fees	₹600	₹600	₹600
Warranty claims, as a share of phones sold	3%	6%	10%
Returns within 7 days, as a share of phones sold	4%	7%	13%

- **Warranty claims:** each claim costs Tikau ₹2,500 on average in parts, labour and courier. Claim rates are the same in every channel.
- **Returns:** each return costs ₹1,800 in two way delivery, retesting, repacking and a lower resale price. For this case, treat the sale as recovered when the returned phone is sold again. Do not reverse the sale. Charge ₹1,800 on the share of phones returned.
- **Contribution per phone** = selling price minus all the costs above, including expected warranty and return costs. It is before any marketing or channel cost.
- The return rates above apply to the website. Exhibit 3 gives the channels that differ.

Exhibit 3: Where orders come from (monthly average, August to October 2026)

Channel	Orders a month	Superb	Good	Fair	Fixed monthly spend	Other cost	Cost per order on the growth dashboard
Performance ads	2,600	20%	40%	40%	₹60 lakh	None	₹2,308
MegaKart marketplace	2,000	10%	45%	45%	₹0	12% of the selling price	₹0
Creators	900	40%	50%	10%	₹18 lakh	None	₹2,000
Stores	1,000	45%	45%	10%	₹21 lakh	None	₹2,100
Referrals	700	35%	50%	15%	₹0	₹350 coupon on each order	₹350
Total	**7,200**				**₹99 lakh**		

- **Performance ads:** paid social media and search ads. Website return rates apply.
- **MegaKart:** MegaKart keeps 12% of the selling price on every order. Tikau runs no ads there. Website return rates apply.
- **Creators:** phone review creators paid fixed monthly fees. Their buyers return phones 1.5 times as often as the website rate for the same grade.
- **Stores:** the fixed spend is rent and staff. Store buyers return phones half as often as the website rate for the same grade.
- **Referrals:** customers share a code, and each order placed with a code uses a ₹350 coupon. Website return rates apply.
- **Growth dashboard:** the last column is what the growth team reports every week: fixed spend plus coupons, divided by orders. It leaves out MegaKart's commission, returns, warranty and the grade each channel sells.
- **Contribution after marketing** for a channel = contribution of the phones it sells (using its own return rate) minus its fixed spend, commission and coupons.

Exhibit 4: The lab and phone supply

- **Lab capacity:** the lab tests 8,000 phones a month on two shifts. 10% fail the final check and are sold as spare parts for about what Tikau paid for them, so they cause no gain or loss. This leaves **7,200 phones a month** that can be sold.
- **Supply:** wholesale traders can sell Tikau at most **2,000 Superb phones a month**. Supply of Good and Fair phones is not a constraint.
- **Battery checks:** today the lab records the battery health shown on the trader's own testing tool. In a November spot check of 200 Good phones, Tikau's own tester found 22 phones below the 80% printed on their listings.
- **Warranty service:** repairs take 9 days on average, and 38% of claims need a second visit.

"We are selling phones faster than we can check them properly." Kabir Arora, Cofounder

Exhibit 5: Rules on claims, reviews and data

- Every claim must be true for every phone it is shown on. A battery claim needs a reading taken in Tikau's own lab.
- Every listing must say "refurbished". "Like new" and "as good as new" may not be used. "Genuine parts" may be used only if every replaced part is made by the phone's brand. Tikau's replacement batteries are compatible batteries, not brand made.
- Comparisons with PhoneBazaar or any other named seller need data Tikau can show. Tikau has none.
- No fake countdown timers, no false "only 1 left" messages and no discounts shown against a price Tikau never charged. These are dark patterns under India's 2023 consumer protection guidelines.
- Reviews must come from verified buyers. Any reward for a review must be disclosed and given whether the review is good or bad. Paid creator content must be labelled as an advertisement.
- No phone may be sold without a completed data wipe, and no phone whose IMEI has been reported lost or stolen may be sold.

Exhibit 6: The options for January to March 2027

Lever	Setup cost (paid in January)	Monthly cost from the start month	What changes
A. Price push	None	₹10 lakh of extra performance ads	The price of Fair phones falls 3% in every channel. In performance ads and MegaKart, orders rise 50% and the grade mix changes to 15% Superb, 35% Good and 50% Fair for performance ads; and to 5% Superb, 40% Good and 55% Fair for MegaKart.
B1. Tikau Report	₹15 lakh	None	Every phone gets a condition report with real photos, a battery reading taken in Tikau's lab, an IMEI check against the government registry and a data wipe certificate. Cost: ₹120 per phone sold. Orders rise 8% in every channel. Return rates fall by 30%.
B2. Battery 85 and 12 month warranty	₹25 lakh	None	Every Good and Fair phone leaves with battery health of 85% or more. 40% of Good phones need a new battery at ₹1,000 and 70% of Fair phones need one at ₹800. The warranty rises to 12 months and claim rates become Superb 4%, Good 6%, Fair 9%. Superb and Good prices rise 4%. Orders rise 8% in every channel. Return rates fall by 20%.
B3. Trust campaign	None	₹15 lakh	Only possible with B1 or B2. Orders rise 5% in every channel except MegaKart.
C. Trade in	₹35 lakh	None	See the trade in details below.
Third lab shift	None	₹9 lakh	The lab can deliver 1,800 more phones a month (9,000 in total). Hiring and training take 4 weeks, so it can start on 1 February or 1 March.

C. Trade in: "Purana do, Tikau lo"

- Customers book a pickup and get an instant price for their old phone. Tikau expects **1,000 trade ins in February and 1,800 in March**, then 800 more each month until it reaches 4,000 a month.
- Each pickup costs ₹400. Traded phones arrive 30% Superb, 50% Good and 20% Fair. 15% of them fail the final check. Those are sold as spare parts with no gain or loss.
- Each traded phone that passes is sold in the same month in place of a wholesale phone of the same grade, and saves Tikau 8% of the wholesale price for that grade. Traded Superb phones that pass are added to the 2,000 Superb phones available from traders. Traded phones replace wholesale phones in the lab, so they use no extra lab capacity.
- **30% of people who trade in also buy a Tikau phone** at the same time. They are new customers who would not otherwise have bought. They buy 40% Superb, 50% Good and 10% Fair, return phones at website rates and get ₹1,000 of extra credit, which reduces the contribution on that order. These orders do need lab capacity.
- The ₹400 pickup cost and the ₹1,000 credit are operating costs. They reduce contribution and do not count against the ₹80 lakh.

How the options work

- **Timing:** setup costs are paid in January. All changes start on 1 February 2027. In January, orders, prices, costs and return rates stay exactly as they are today, but any setup cost paid in January still reduces January EBITDA.
- **Combining:** you may choose any combination. When options are combined, multiply their effects on orders and on return rates. Price, cost and warranty changes apply to every phone sold, including trade in orders. The order increases from A, B1, B2 and B3 do not apply to trade in orders.
- **Growth money:** the setup costs, the third shift and the monthly cost of A and B3 are paid from the ₹80 lakh. Count each of them once, as growth money, in the month it is spent. Per phone costs (the condition report, new batteries, pickups and the trade in credit) reduce contribution and are not paid from the ₹80 lakh.
- **When orders exceed what Tikau can deliver:** first, if Superb orders exceed the Superb phones available, reduce Superb orders in every channel by the same percentage until they fit. Then, if total orders exceed lab capacity, reduce all remaining orders in every channel and grade by the same percentage until they fit. Orders that cannot be delivered are lost.

From: Sana Qureshi, Cofounder and CEO, Tikau
To: Strategy team
Subject: Five questions and the board's tests

Please answer these five questions in your deck.

1. **What is holding Tikau back?** Calculate contribution per phone for each grade, contribution after marketing for each channel, our monthly EBITDA today and our return rate. Tell me where we make money, where we lose it and whether our problem is demand or trust.
2. **Who should we win?** Choose one primary customer segment using Exhibit 1 and the economics. Write a positioning statement and one line a customer would remember. Hindi or Hinglish is welcome.
3. **What should we do, and when?** Choose your options from Exhibit 6 and, if you add the third shift, its start month. Fill in the table below, show that your plan passes every board test and show the numbers for at least one plan you rejected.
4. **How will customers hear about it?** Plan the February launch: the main idea, the channels from Exhibit 3 and what a customer sees first on a product page. List three claims you will make and two you will not, each checked against Exhibit 5.
5. **How will we know it is working?** Give three numbers to track every week and the level at which you would change course. Tell me what you would do in April with the options you did not choose.

The board's tests: (1) growth money spent from January to March is at most ₹80 lakh; (2) March 2027 EBITDA is ₹0 or more; (3) the March 2027 return rate is 6.0% or less; (4) every claim and tactic follows Exhibit 5.

EBITDA = contribution after marketing for all channels (including trade in orders, trade in savings and pickup costs), minus ₹58 lakh of fixed costs, minus growth money spent that month. Return rate = phones returned ÷ phones sold, across all channels.

Your plan	January	February	March
Options live			
Phones sold			
Contribution after marketing (₹ lakh)			
Growth money spent (₹ lakh)			
EBITDA (₹ lakh)			
Return rate			

Below the table, show total growth money used, your number for each board test and the change in total January to March EBITDA compared with doing nothing.

Best,
Sana